

Handicraft Industry in India - A declining industry

- Indian Handicrafts have been losing market to machinery manufactured fabrics for a few decades now.
- The industry finds it difficult to compete in terms of manufacturing cost to mass manufactured textiles.
- Even though the quality and art in handicrafts is considered superior, customers prefer the cheaper mass manufactured product.
- As a result, the industry has been squeezing the falling profits.

Characteristics of the Industry

- Decrease in prices.
- Decrease in volumes and sales.
- Low expenses on promotions.
- Distribution channels refusing to stock inventory and give retail space to the new industries.
- Old companies are exiting the industry.

Due to the above characteristics of the industry, the industry can be identified as an industry in decline phase.

